

Summary and Conclusion. The relationship between stockholders and their managements, after undergoing many unsound developments during the hectic years from 1928 to 1933, have since been subjected to salutary controls—emanating both from S.E.C. regulation and from a more critical viewpoint generally. Certain elementary facts, once well-nigh forgotten, might well be emphasized here: Corporations are in law the mere creatures and property of the stockholders who own them; the officers are only the paid employees of the stockholders; the directors, however chosen, are virtually trustees, whose legal duty it is to act solely in behalf of the owners of the business.⁹

To make these general truths more effective in practice, it is necessary that the stock-owning public be educated to a clearer idea of what are the true interests of the stockholders in such matters as dividend policies, expansion policies, the use of corporate cash to repurchase shares, the various methods of compensating management, and the fundamental question of whether the owners' capital shall remain in the business or be taken out by them in whole or in part.

for maintenance of a comfortable cash position, but it could not justify the immobilizing of far more cash than the whole company appeared to be worth at any time between 1930 and 1939.

In October 1939 the company made application to the S.E.C. to terminate trading in its shares on the Philadelphia Stock Exchange and the New York Curb Exchange, intimating that the infrequency of transactions might be responsible for their unduly low price. The reader may judge whether or not, in the circumstances, the plight of the stockholders would be relieved in any wise by destroying the established market for their shares. (The application was later withdrawn.)

⁹ The management of American Telephone and Telegraph Company has repeatedly asserted that it considers itself a trustee for the interests of stockholders, employees and the public, in equal measure. A policy of this kind, if frankly announced and sincerely followed, can scarcely be criticized in the case of a quasi-civic enterprise. But given the ordinary business company, the issue is more likely to be whether the management is acting as trustees for the stockholders or as trustees for the management.